including home equity. If you have kids you may need a bit more than that (see chapter 9), depending on how many kids you have and how old they are.

A net worth of $500,000 may seem like far too little. But if you convert that net worth to cash and put it in the bank at 8 percent interest, you have a gross annual income of $40,000—which is more than some 75 percent of American families make. Interest rates move around, so your income could be slightly higher or lower, but that kind of money ought to be plenty to live on.

This book tells how to retire with an income of $40,000 or so a year. You'll have somewhat less than that after you pay income taxes and set aside something for inflation. You'll live without the addictive trappings that hook you to the good life. Without a house the size of the Taj Mahal and without first-class hotels when you travel. Without a Mercedes and without tax shelters. Without private schools for the kids. Without a ski cabin and his and hers lawns. But you won't have to drink ordinary scotch, thank God. You won't have to go without his and hers coffeepots. You'll be able to travel the world, staying in center-city hotels and doing all the tourist things you want to do. You'll be able to party all you want, get to know your kids before they're grown, and maybe even bring joy back to your marriage and avoid becoming another statistical casualty. You'll be spending based on your needs rather than on what you can "afford."

And you'll never work another day in your life—unless you want to. You may even find you need a new way to define "work."

MILLIONS COULD RETIRE RIGHT NOW

How many young Americans have $400,000 or $500,000 of net worth and can retire like I did? Would you believe something like 4 million?

I looked it up. The U.S. government has statistics on